

urban demand even as lower inflation boosts purchasing power. “That said, in the job market, while indicators are showing some signs of recovery in pockets, they are not yet decisively positive, with large sectors like software and BFSI still seeing a contraction in hiring intentions,” says the report.

On Dhanteras, at a press conference to discuss the GST rate cuts, Finance Minister Nirmala Sitharaman highlighted record sales of automobiles, consumer durables and FMCG products and underlined that consumption demand is expected to sustain even beyond the festive season.

In its monthly economic outlook, the finance ministry said demand conditions across rural and urban India had strengthened with GST reforms and the festive season, coinciding with reports signalling robust growth in sales. The RBI’s forward-looking survey on urban and rural consumer confidence reveals households are optimistic about economic conditions, employment, income and spending a year from now. More data over the next few months could throw a light on this with even the finance minister pointing out that the festival season in India continues till Sankranti, which is in mid-January, and one should wait for consumption figures until then.

Companies are also more optimistic about prospects in the third quarter; confidence is higher on overall economic situation, demand conditions as well as profits from the second quarter (see *GST Cuts, Festive Sales Boost Q3 Confidence*).

THE CHALLENGES

Still, numerous uncertainties are keeping a lid on private investment plans. Only 23% respondents are planning higher capital investments this fiscal; 63% said a definitive no.

Lodha, however, says that the manufacturing sector is poised for a pick-up in capital investment, driven by two key trends, albeit with a few short-term hiccups. Firstly, companies are expanding their capacity in conventional manufacturing sectors as they reach high

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“For the short term, the big question is—will domestic demand support growth or will the export slowdown play a larger role in influencing growth”

DIPTI DESHPANDE
PRINCIPAL ECONOMIST, CRISIL

utilisation levels. Secondly, investments are pouring into emerging sectors such as electronics and semiconductors, energy transition, electric vehicles, defence and aerospace, and data centres.

The reduction in GST rates is expected to have a positive impact on consumption-linked sectors, which account for approximately 15% of corporate revenue, Lodha says, adding that high utilisation levels in key manufacturing industries such as oil and gas, steel, cement, passenger vehicles, and two-wheelers, which contribute to around 60% of industrial capex, indicate that this is an opportune time for expansion. But due to uncertainty in the global economic and trade landscape, companies are cautious. The hiring outlook for the third quarter also remains largely unchanged at 4.8 on a scale of 10 from the second quarter’s 4.7.

The advent of AI has also meant that more companies are looking at lower hiring, even layoffs, a trend already visible at giants such as TCS, Meta and Amazon. In response to a question on the most important impact of AI on jobs in their companies, only 28% of respondents said they are looking to reskill their workforce. In contrast, 23% plan to hire less, while 12% are planning layoffs

The ease of doing business also remains a major stumbling block for businesses. As many as 46% of respondents said they have found no change over the years and only 31% said it has improved. A total of 65% said they found GST compliances to be the most difficult, while for 16%, labour laws were the most challenging.

For the finance ministry, which has started preparations for the Union Budget 2026-27, these responses are food for thought on what needs to be done further. The big questions now are whether the GST rate cuts would have the desired impact on growth and consumption and if, and when, the trade deal with the US is signed. Policy responses in the next Budget would clearly be crafted on how these pan out. **BT**

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